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Citizens Private Bank is pitching elastic loans to GPs, LPs amid liquidity drought

By [Michael Bodley](#)

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Citizens Private Bank is rolling out personal loans collateralized by GP and LP interests in venture capital and private equity funds, pushing into the [maturing credit market for cash-strapped investors](#), the bank told PitchBook.

Previously, Citizens' [GP-specific](#) loans were exclusively secured against future GP commitments, limiting their use to funding managers' subsequent funds. The new offering, which adds LPs as eligible borrowers, can be tapped for much broader and personal purposes. A borrower, for instance, can take out a mortgage or pay off a tax bill.

The private wealth unit of [Citizens Financial Group](#) is imposing a minimum of \$250,000 in a bid to tap the lower end of the market where [private credit behemoths](#) are less active. There's no set maximum on the all-weather products, according to Scott Aleali, Citizens Private Bank's head of private equity finance.

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"With liquidity down, that not only impacts the funds and the business level of our private equity and venture capital clients, but it impacts the people as well," said Aleali, whose employer counts more than 700 VC and PE funds as clients. "And as a private bank, we want to serve not only the businesses, but definitely the people that run those businesses and are employed by those businesses."

Loans backed by GP and LP interests have become an increasingly common liquidity mechanism. But their proceeds are often earmarked for specific purposes, rather than blanket personal use. Citizens' loans are personal recourse loans, meaning the borrower is individually responsible for repayment.

While there have been recent signs of life in the US IPO market, the [VC and PE exit backlogs have persisted](#) through the first half of 2025. Investors say they're strapped for liquidity. Citizens isn't restricting what borrowers use the line of credit for: Home purchases, rebalancing portfolios and tax payments are all on the table.

The loans, which are underwritten and originated by Citizens, start with a ceiling of 15% LTV to fund interests. The liquidity lines require GP or LP interests in a firm with at least \$350 million AUM and a minimum of three PE or VC funds.

"Private equity and venture capital professionals, if they have a lot of money that's tied into these funds that they're invested in, there isn't a huge market to be able to unlock

that liquidity and get access to capital,” Aleali said. “And so this liquidity line credit solution is a response to the market environment.”

Featured photo by Hello World/Getty Images

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About [Michael Bodley](#)

Michael Bodley is a senior venture capital reporter at PitchBook News, covering top fund managers and developments affecting limited partners. Based in New York, Michael previously led TheStreet.com’s crypto coverage. He also reported for Hedge Fund Alert after breaking into journalism at the San Francisco Chronicle. Originally from Baltimore, Michael graduated from Elon University.

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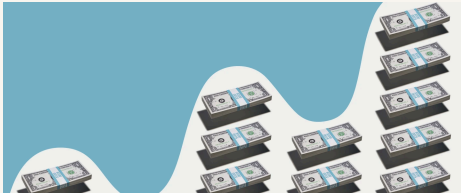


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